

INTERNAL AUDIT REPORT

Contract Compliance Audit | Report No. AR-02307

Report ID:	AR-02307
Audit Type:	Contract Compliance Audit
Report Date:	July 30, 2025
Audit Period:	2025-04-30 to 2025-07-26
Lead Auditor:	Bradley Hernandez (EMP-61674)
Reviewed By:	Brian Cannon (EMP-25751)
Primary Vendor Reference:	WaveCore Manufacturing Inc (VND-02704)
Subject Employee Reference:	Debra Green (EMP-38261)
Primary Transaction Reference:	TXN-EXT-002230
Overall Risk Rating:	MEDIUM

1. EXECUTIVE SUMMARY

This contract compliance audit covered the period 2025-04-30 to 2025-07-26 and examined transactions, approvals, and compliance records associated with vendor WaveCore Manufacturing Inc (VND-02704) and employee Debra Green (EMP-38261). The audit identified 2 finding(s) requiring management attention, summarised in Section 3. The overall risk rating for this audit is assessed as **MEDIUM**.

2. SCOPE AND METHODOLOGY

The audit was conducted in accordance with the Internal Audit Charter and covered a sample of transactions processed through the Approval Workflow and Expense Claim systems. Testing included transaction tracing, approval limit verification, compliance record cross-referencing, and interviews with relevant process owners. Transaction ID TXN-EXT-002230 (amount 8,359.78 USD) was selected as a key test item.

3. FINDINGS

Finding ID	Severity	Category	Description
FND-00420 4	LOW	VENDOR RISK	High-risk vendor PeakVault Services Ltd has no compliance record on file. Payment of \$69,119 released without compliance clearance.
FND-00297 5	HIGH	EXPIRED COMPLIANCE	Procurement team processed payment without checking compliance status. Certificate had been expired for 454 days.

4. EVIDENCE REFERENCES

Evidence ID	Source Type	Citation Reference	Alignment Score
EVI-002050	CONTRACT RECORD	EVD-KUT-1142	0.58
EVI-005414	DNS LOG	EVD-SCJ-5875	0.64
EVI-007364	AUDIT REPORT	EVD-NQB-2783	0.56
EVI-008746	POLICY DOCUMENT	EVD-QRM-4754	0.75
EVI-010710	EXPENSE CLAIM	EVD-QND-1530	0.65
EVI-011752	AUDIT REPORT	EVD-SDG-3700	0.52

5. RECOMMENDATIONS

- Implement enhanced due diligence procedures for vendors rated HIGH or CRITICAL risk prior to contract renewal.
- Review and update vendor risk ratings following adverse compliance findings.
- Restrict post-termination system access to prevent ghost-approver scenarios.

6. MANAGEMENT RESPONSE

Management accepts the residual risk and has documented justification on file with the Chief Risk Officer.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Auditor	Bradley Hernandez	EMP-61674	2025-07-30
Reviewing Officer	Brian Cannon	EMP-25751	2025-08-01